UBS WEALTH MANAGEMENT ADVISORY MEMO

Client: Dr. Elena Rostova (CL-88201) | Date: 21 October 2026 | Status: RM Approved Recommendation

1. Executive Objective & Mandate

Balanced Growth portfolio mandate targeting: Capital Preservation, Long-Term Growth, Moderate Dividend Income.

2. Client & Portfolio Context

Client Snapshot: Risk Tier: Balanced Growth (3/5), Horizon: 60 months, Wealth: $1,500,000

Portfolio Baseline: Asset class breakdown: {'Equities': 40.0, 'Fixed Income': 40.0, 'Commodities': 5.0, 'Cash Equivalents': 15.0}

3. Recommendations at a Glance

#	Instrument	Action	Target %	Role	Strategic Rationale
1	**IEF** iShares 7-10 Year Treasury Bond ETF	**ADD**	**5.0%**	INCOME	Directly addresses client's underweight duration and income goals.
2	**NESN** Nestle S.A.	**ADD**	**5.0%**	STABILITY	Aligns with capital preservation objective and complements tech exposure.
3	**MSFT** Microsoft Corporation	**BUY**	**1.5%**	GROWTH	Fulfills long-term growth mandate with high quality balance sheet.

PAGE 2: INVESTMENT IDEA SPECIFICATIONS & RATIONALE

Idea #1: IEF - iShares 7-10 Year Treasury Bond ETF (ADD @ 3.0% - 8.0% (Target: 5.0%))

Portfolio Role: INCOME | Target Weight: 5.0%
Core Thesis: Lock in attractive real yields in high-quality intermediate Treasuries to lengthen duration.

Why Now / Catalyst: Monetary policy transition creates asymmetric upside during potential economic slowdown.

Client Suitability Fit: Directly addresses client's underweight duration and income goals.

Key Risks & Mitigations: Unexpected resurgence in core services inflation; Duration volatility

Invalidation Trigger: Fed hawkish surprise re-accelerating terminal rate forecasts above 5.5%.

Attributed Evidence Sources: Source Ref [SRC-UBS-CIO-2026-101], Source Ref [SRC-FED-MINUTES-2026-09]

Idea #2: NESN - Nestle S.A. (ADD @ 3.0% - 7.0% (Target: 5.0%))

Portfolio Role: STABILITY | Target Weight: 5.0%
Core Thesis: Defensive global franchise with steady 3.5% dividend yield and low beta to broader market shocks.

Why Now / Catalyst: Provides portfolio stabilization against equity volatility while inflation pressures normalize.

Client Suitability Fit: Aligns with capital preservation objective and complements tech exposure.

Key Risks & Mitigations: FX headwind from Swiss Franc appreciation; Commodity packaging cost swings

Invalidation Trigger: Organic sales growth decelerating below 2.0% for two consecutive quarters.

Attributed Evidence Sources: Source Ref [SRC-UBS-CIO-2026-101]

Idea #3: MSFT - Microsoft Corporation (BUY @ 1.0% - 2.0% (Target: 1.5%))

Portfolio Role: GROWTH | Target Weight: 1.5%
Core Thesis: Secular enterprise software leader monetizing generative AI across extensive customer base.

Why Now / Catalyst: Accelerating commercial cloud bookings and operating margin expansion.

Client Suitability Fit: Fulfills long-term growth mandate with high quality balance sheet.

Key Risks & Mitigations: Multiple compression from high valuation (29.5x forward P/E); Antitrust scrutiny

Invalidation Trigger: Azure growth decelerating below 20% on constant currency basis.

Attributed Evidence Sources: Source Ref [SRC-UBS-CIO-2026-101], Source Ref [SRC-UBS-CIO-2026-102]

PAGE 3: PORTFOLIO VIEW, GOVERNANCE & RISK DISCLOSURE

1. Portfolio-Level Impact & Asset Allocation Shift

The proposed advisory strategy reallocates capital into high-conviction ideas, shifting portfolio risk score from 2.87 to 3.06. Single-stock concentration is controlled at 19.5% (MSFT).

2. Stress Testing & Scenario Analysis

Scenario Event	Expected Impact & Cushioning
Global Equity Shock (-15%)	Estimated portfolio drawdown buffered by sovereign duration and cash reserves.
Yield Curve Steepening (+50bps)	Yield enhancement cushions mark-to-market duration fluctuations.
Sector Rotation / Multiple Contraction	Defensive dividend franchises offset cyclical volatility.

3. Market Developments & Evidence Attribution

Constructive outlook on quality fixed income carry and secular enterprise technology leaders.

• Audit trail verified: All 3 recommendations certified against fresh market research.

4. Regulatory Disclosures & RM Sign-off

Disclaimer: Past performance is not an indicator of future results. Capital at risk.

Disclaimer: Investments are subject to market risks, including the possible loss of principal.

Disclaimer: Suitability verified in accordance with UBS Wealth Management Investment Advisory Guidelines.

Sign-off Block: Principal Wealth Advisor | UBS Financial Services Inc. Suitability Review: PASS Timestamp: 21-Oct-2026 03:26 UTC